Table 63.3 Cumulative Failure Rates

Maximum Price Rise (%)	Bull Market	Bear Market
5 (breakeven)	297 or 10%	63 or 12%
10	363 or 22%	105 or 32%
15	291 or 31%	68 or 45%
20	242 or 39%	65 or 58%
25	178 or 45%	43 or 66%
30	169 or 50%	40 or 74%
35	180 or 56%	29 or 80%
50	358 or 68%	52 or 90%
75	391 or 81%	27 or 95%
Over 75	592 or 100%	27 or 100%

Despite what appears to be an alarming increase in failures for small price moves, the numbers are quite reasonable when compared to other chart patterns.

What do the numbers mean? If your cost of trading is 5% and you want to make 15% (20% total), how often does the three rising valleys pattern fail? Answer: 39% in bull markets and 58% in bear markets. The result says to avoid trading this pattern in bear markets.

Of course, you will not trade each pattern perfectly and your losers will pull down your average gain, so you will have to allow for that. Trade the pattern on paper (or use a trading simulator) and see if you can make money consistently. If you cannot show a paper profit, then either you are doing it wrong or you should marry someone with lots of money.

Table 63.4 shows breakout-related statistics.

Breakout direction. By definition, a valid three rising valleys chart pattern always has an upward breakout. Don't be fooled by cheap imitations.

Yearly position, performance. The best performing patterns have breakouts near the yearly high. Well, sometimes. It's only true in bull markets. In bear markets, it's the reverse with those near the yearly low